

PPD: A Cleaner Way to Measure What You're Actually Collecting Per Day

A Practitioner's Definition of Premium Per Day (PPD) for Short Option Positions

Sam Vishwas · Options Education · Premium Per Day (PPD)

Educational only. *This describes a position-level indicator the author uses in personal trading. It is not a recommendation to buy or sell any security.*

After nearly a year of trading short options, cash-secured puts and covered calls, and executing more than four thousand trades against roughly twenty million dollars in notional capital over that year, I kept encountering the same analytical blind spot. Traders instinctively reach for theta, assuming daily decay will reveal what they are collecting per day. It does not. Theta tracks the option's current market value, and current market value is different from premium collected.

I needed something simpler: a number that would tell me, every day, how much premium I was actually collecting on a given position, without factoring in capital, efficiency, or hedging math. So, I built PPD, or Premium Per Day, and I have used it on every trade since.

Before building this metric, I searched for a published treatment at this level of practical detail and found little. The closest is Markus Heitkoetter's piece on PPD, which is worth reading if you have not seen it. What follows is how I define the term.

The Problem

Every short-option trader eventually asks the same question: how much am I collecting per day on this position? The usual answers, including theta, daily decay, and a column that divides today's mark by the days remaining, all share one weakness. Each tracks the option's current market value, and current market value is different from premium collected.

That distinction is invisible when a trade is going well. It becomes costly the moment the trade turns against you.

Why Current Methods Fail

Consider a cash-secured put sold for one dollar. A week later, the stock drops and the option is now worth fifty dollars. Daily theta at that moment might read fifteen cents a day, the highest reading of the week. This number suggests you are earning more than ever.

You are not; you are losing. Theta is a Greek: it describes how the option's price moves with time, not how much premium you collected. When the stock drops, theta can rise because the option's value is rising against you. The number increases exactly when your position is at its worst. That is not a quirk; it is how the Greek is constructed.

Any metric built on current premium behaves this way. It rewards you, on paper, at the exact moment your position is weakest. A column that divides today's mark by days remaining climbs precisely when you should be focused on risk, not celebrating collection.

That is the underlying gap. The Greeks describe the option's behavior; they do not describe your collection. For a trader managing an open short position in real time, that distinction is not a minor technicality. It is a weakness in the analysis.

The Four Inputs

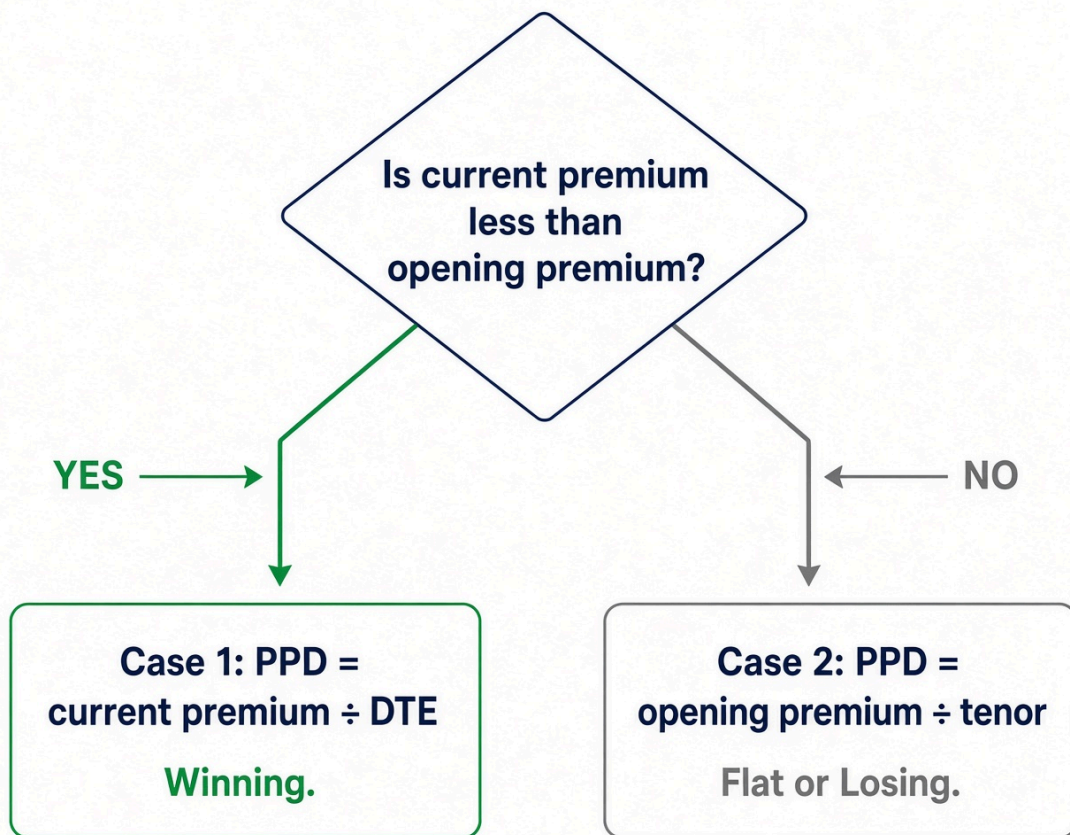
PPD relies on only four figures, all already present on the trade ticket. Keep the units consistent, either per share or per contract, never mixed.

- **Opening premium:** the premium collected when the option was sold.
- **Current premium:** the cost to close the position today, using the asking price you would actually pay to buy it back, not the midpoint.
- **DTE:** the number of days remaining until expiry.
- **Tenor:** the total number of days between the day the position was opened and the expiry date.

PPD does not require the strike, the capital, the hedge, or the portfolio. Those inputs belong to later KPIs.

The Definition

These four figures produce two cases. The applicable case depends on a single comparison: is the option cheaper to buy back today than it was on the day it was sold?



PPD has exactly one branch point. Everything else follows from it.

Case 1 is the winning case: current premium has fallen below the amount collected. The remaining value in the option is what the trader is still working against each day, so that remaining value is the correct numerator, and DTE is the correct denominator.

Case 2 covers everything else: the moment the position opens, the moment the mark is unchanged, and every moment the position is underwater. A trader cannot collect more than the amount taken in, so the original credit becomes the ceiling. Dividing by tenor, the full life of the trade from open to expiry, keeps that ceiling honest. Using DTE instead while underwater would inflate the number as days pass, even though no additional premium has been collected. Tenor does not shrink with the calendar, which is why it belongs in Case 2.

The distinction between the two cases is the entire point. When a position is winning, the live mark shows what remains on the table. When a position is losing, the live mark shows the damage sustained. PPD does not count that damage as income.

A Worked Example

Consider a thirty-day put sold for one dollar, with a tenor of thirty days.

On day one, immediately after opening, current premium equals opening premium at one dollar. This does not satisfy Case 1, so Case 2 applies: PPD equals one dollar divided by thirty, or approximately \$0.033 per day.

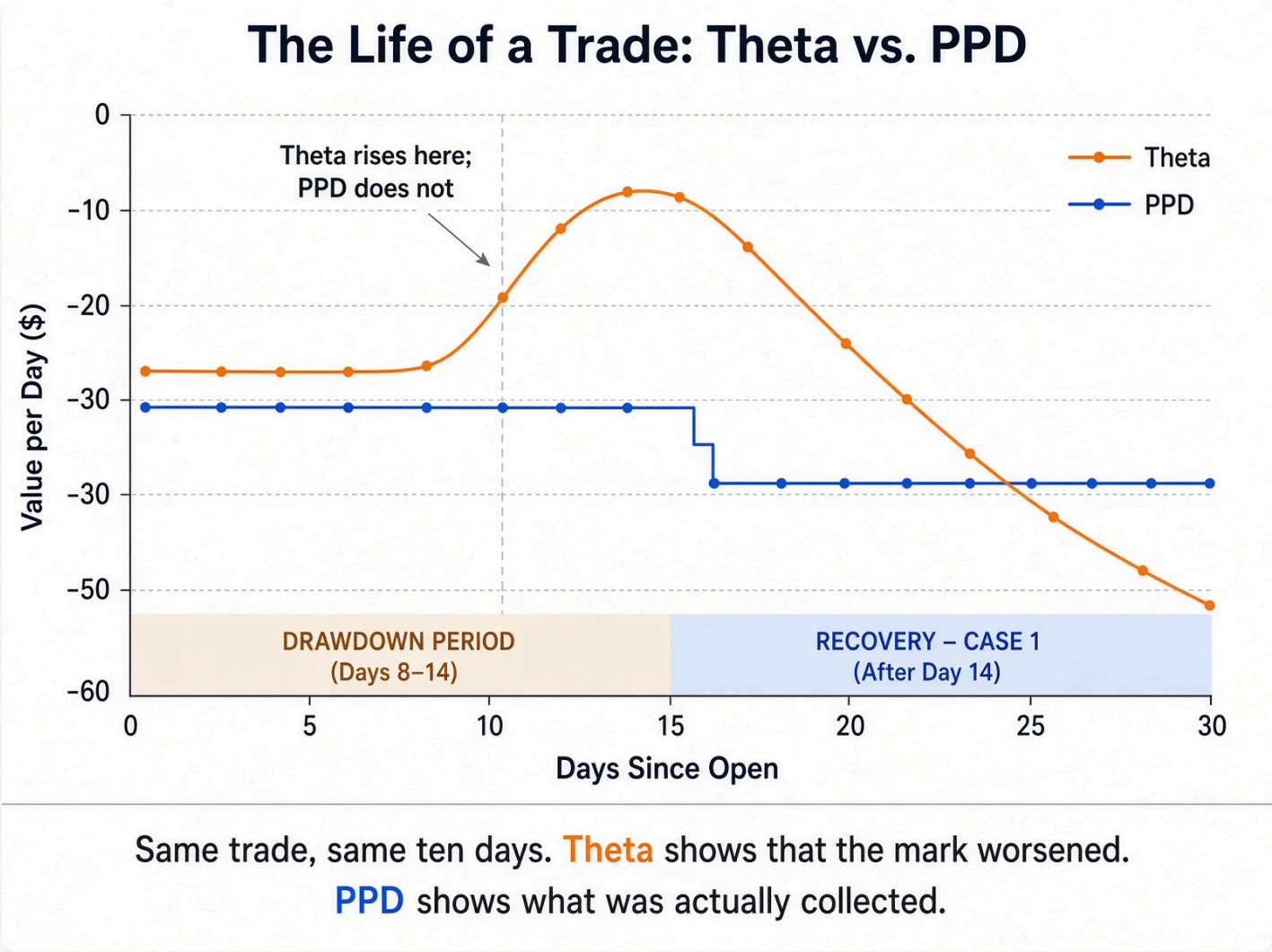
On day ten, assuming the position is winning, the option is now worth \$0.40. Because current premium is less than opening premium, Case 1 applies: PPD equals \$0.40 divided by twenty days remaining, or \$0.020 per day. This figure is lower than day one's reading, which is correct, since less premium remains and fewer days remain to collect it.

On day ten, assuming instead the position is losing, the option is now worth \$1.40. Because current premium exceeds opening premium, Case 2 applies: PPD remains the original one dollar divided by thirty, or approximately \$0.033 per day, unchanged from day one. The market shows

a loss of \$0.40, and PPD does not disguise that fact; it simply holds the line at the amount actually collected.

Same thirty-day put, three states				
STATE	CURRENT PREMIUM	CASE	PPD	WHAT THETA CAN DO
Day 1, opened	\$1.00	2 (current = open)	\$0.033/day	Roughly matches PPD
Day 10, winning	\$0.40	1 (current < open)	\$0.020/day	Falls with remaining value
Day 10, losing	\$1.40	2 (current > open)	\$0.033/day	Can rise: the misleading read

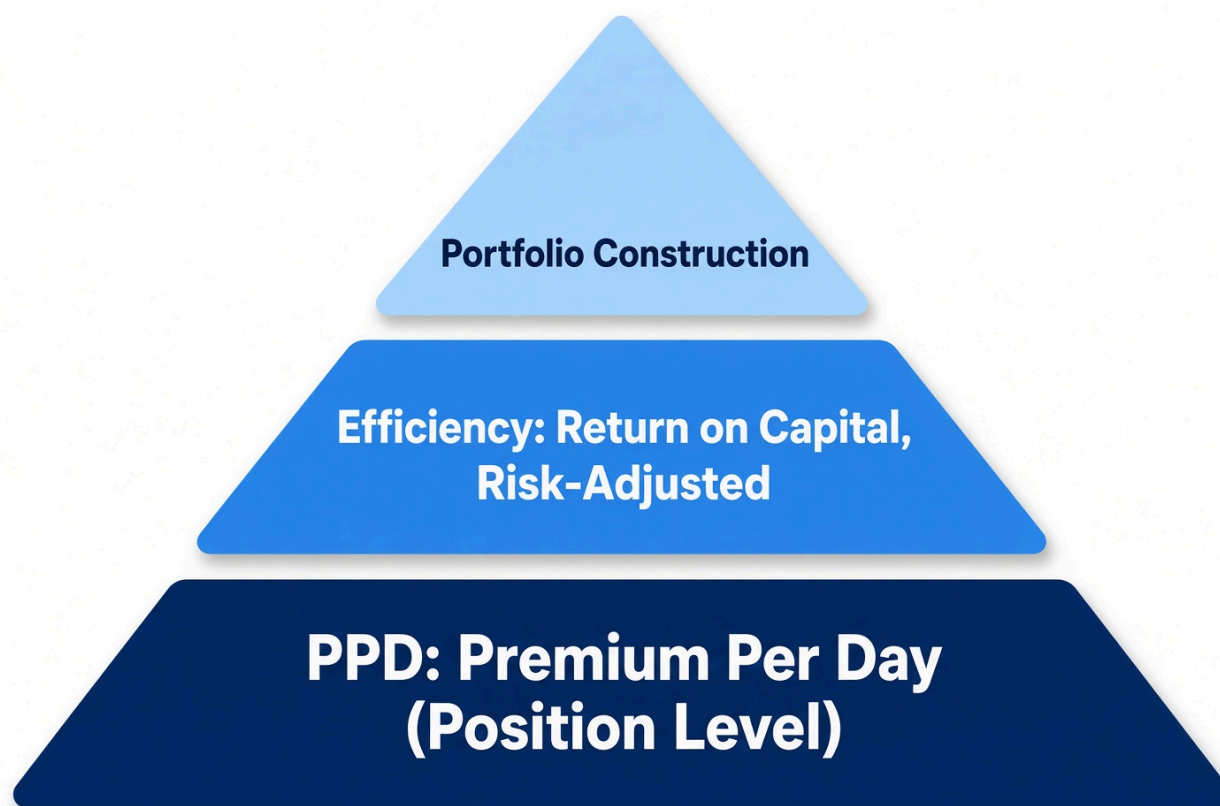
When the position recovers and current premium falls back below opening premium, PPD automatically reverts to Case 1, without any manual reset.



What PPD Is, and What It Is Not

PPD is a pure position-level figure. It does not account for capital, hedging, portfolio composition, or efficiency. It answers a single question: on this position, today, how much premium per day is actually available?

That narrow scope is intentional. PPD is the first step in a larger stack of metrics, not the entire stack. It ranks and manages positions based on raw per-day premium. A second layer, covering efficiency, return on capital, and risk-adjusted comparison, takes PPD as an input and answers the harder question: was that premium worth the capital and risk behind it?



PPD feeds the next layer. It does not replace it.

A trader cannot move to efficiency calculations without a clean per-day figure underneath them, since flawed inputs produce flawed outputs. PPD forms that foundation. The efficiency KPIs come later.

How to Use It

On a watchlist of approved trades, PPD serves as the first sort, not the final word. It identifies which candidate is collecting the most premium per day on a position basis. It does not indicate whether the underlying name is approved, whether earnings fall within the position's window, or whether the trader already holds too much exposure to that sector. Those filters apply first; PPD then ranks what survives them.

On an open position, PPD functions as a management signal. When Case 1 applies and the figure is falling, the remaining collection per remaining day is shrinking, often signaling that it is time to ask whether the leftover premium still justifies the leftover risk. When Case 2 applies, the figure remains frozen at the original credit divided by tenor. That freeze is itself the signal: the trader is no longer collecting premium and is instead holding risk against a credit already received.

PPD does not size a trade. A high PPD on a name that should not be held remains a poor trade. Size the position according to risk, and rank it using PPD.

Common Mistakes

- **Do not treat theta as collection.** Theta is a sensitivity measure; it moves with the underlying price, implied volatility, and time, while PPD moves only with premium and dates.
- **Do not use the full tenor when Case 1 applies.** When current premium falls below opening premium, the denominator is DTE, not tenor; mixing the two denominators undermines the calculation.
- **Do not compute planned PPD from the midpoint price.** The realized fill reflects the bid a trader actually receives, so current premium should reflect the ask a trader would pay to close the position.

- **Do not read PPD as permission to trade.** A high PPD functions as a ranking input, not a green light; filters apply first, and PPD ranks second.
- **Do not treat multiple high-PPD positions as independent bets.** Positions that share a sector or an expiration date function as a single bet spread across several tickets.
- **Do not annualize a short-dated figure and present it as a system.** For very short-dated positions, raw PPD combined with maximum loss provides the honest read, while an annualized headline figure is largely theatrical.
- **Do not forget that the figure remains theoretical until the position closes.** Slippage, early assignments, and dividends all affect the realized result, so traders should log realized collection after every close and compare it to the PPD observed while the position was open.

Same positions. Different analysis. PPD provides a clearer, apples-to-apples view of daily edge.

Same positions. Different analysis.

Side-by-side comparison of the same watchlist rendered two ways.

Current Premium Column

Column driven by current premium

Symbol	Type	Strike	Exp	Current Premium	Daily P&L
SPY	Call	530	06/21/24	\$4.35	+\$0.18
QQQ	Put	445	06/28/24	\$3.20	-\$0.07
IWM	Call	205	06/14/24	\$2.15	+\$0.05
AAPL	Put	190	06/21/24	\$2.80	-\$0.11
TSLA	Put	160	07/19/24	\$8.90	+\$1.32

Underwater put appears most favorable by daily P&L.

PPD Column

Column driven by Premium Per Day (PPD), capped.

Symbol	Type	Strike	Exp	Current Premium	PPD (Capped)
SPY	Call	530	06/21/24	\$4.35	+\$0.18
QQQ	Put	445	06/28/24	\$3.20	-\$0.07
IWM	Call	205	06/14/24	\$2.15	+\$0.05
AAPL	Put	190	06/21/24	\$2.80	-\$0.11
TSLA	Put	160	07/19/24	\$8.90	+\$0.35

Underwater put shown with correct, capped PPD.



Same positions. Different analysis.

PPD provides a clearer, apples-to-apples view of daily edge.

Where PPD Sits

PPD does not determine whether to enter a trade. It does not size a position, hedge it, or rank it against the broader portfolio. It reports, every day, the single figure that matters for that position: premium per day, measured in a way that does not increase simply because the trade is losing.

Use PPD to monitor how a position behaves over time. Use it to judge when a winning position has stopped justifying the remaining risk. Use it as the clean input for whatever efficiency calculations follow.

Scope of This Piece

This article addresses PPD alone. Capital, efficiency, hedging, strike selection, and portfolio construction are deliberately omitted. Each matter, but none constitutes this particular metric. PPD represents one layer of a broader system; the remaining layers are addressed elsewhere.

The Bottom Line

Every short-option position carries a per-day premium, though most traders never observe it clearly, because the tools they rely on are built on current market value, and current market value is most misleading at the exact moment a trade turns. PPD does not follow that market value off a cliff. When a position is winning, PPD measures what remains against the days that remain. When a position is losing, PPD caps the figure at the amount actually collected and spreads that ceiling across the full tenor.

The framework reduces to two cases, two formulas, and one figure that remains honest.

That is the core KPI. Every additional layer, including efficiency, risk-adjusted return, and portfolio construction, builds on top of it.

This article is educational. It describes a position-level indicator the author uses in personal trading. It does not constitute a recommendation to buy or sell any security, nor a claim that any particular result is repeatable. Short options can produce losses larger than the premium received. Traders should understand the product and the margin requirements at their broker before use.

ABOUT THE AUTHOR

Sam Vishwas

Sam Vishwas is the founder of OTS Ullu, a FinTech platform built to help individual investors apply the systematic discipline of an institutional desk — without inheriting the constraints built for someone else's problems. With over a decade of experience in technology and investing, Sam writes to bridge the gap between institutional-grade systems thinking and practical, real-world wealth building.

He believes the greatest edge any investor can have is not better information; it is better reasoning about the rules that actually govern their positions.

LEGAL DISCLAIMER

This article is for educational and informational purposes only and does not constitute financial, investment, legal, or tax advice. The views expressed are those of the author and do not necessarily reflect the views of OTS Ullu or its affiliates.

Investing in securities involves risk, including the possible loss of principal. Past performance is not indicative of future results. Readers should consult with a qualified financial advisor before making any investment decisions. OTS Ullu and the author are not responsible for any losses or damage resulting from the use of the information in this article.
